

Why are money managers taking such a cavalier attitude toward the risk their funds represent? One answer is inexperience. Lipper Analytical Services reports that only 9.8% of the 2657 stock market mutual funds in existence today (which is more funds than there are stocks on the NYSE) existed during the 1973-1974 bear market. Only 36 funds were both around for that bear market and have the same manager. Most fund managers, then, have never grappled with a bear market, nor have their investors. Only *seven* of today's funds have a manager who during 1973-1974 lost a lesser percentage of his portfolio than the Dow did, i.e., outperformed the market. There are, of course, *no* fund managers around today who *made money* in the 1973-1974 bear market, which means there are none that ever made money in *any* bear market. For them to prepare their portfolios to profit from one would be as foreign an idea as preparing to be abducted by aliens.

Perhaps the most dangerous manifestation of the complacency of recent years is the 1993 decision by several major banks and brokerage firms, including Banker's Trust, Merrill Lynch and Paine Webber, to guarantee *no loss of principal* to stock investors. Investors who buy certain securities are promised that they will receive on a specified date all of their principal regardless of market action, plus all of (or in some cases more than) the gain that they would have made in a particular stock index if it went up! Clearly the issuers believe in (1) a continued bull market, (2) their ability to derive enough income from dividends and leveraged trading to be able to pay the obligation *and* make a profit, and (3) inflation, since they want to return the invested principal years in the future. Four things that will kill this apparent golden goose are a bear market in stocks, a drop in dividend payout, unmanageable market volatility, and deflation, all of which are virtually certain to occur over the next decade. Most such investments sold today come due in the years 1998 to 2002, right in the time span that *The Elliott Wave Theorist* has forecast for the first major bear market low. The probability of default on these securities is very high.

Even the activity of *would-be* professionals reflects the ongoing mania. The annual exam for becoming a Chartered Financial Analyst is given midyear. A year ago, there were 16,000 chartered financial analysts in the U.S. How many people do you think registered to take the CFA exam in mid-1994? Answer: 22,000, 38% more people than were in the entire industry! Remember in 1986-1989, when Everyone & Spouse were getting their real estate brokerage